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भारतीय लागत लेखाकार संस्थान
Statutory Body under an Act of Parliament
(Under the jurisdiction of Ministry of Corporate Affairs)

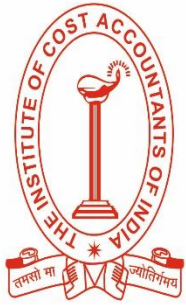
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TOPIC NAME

SET OFF AND CARRY FORWARD

Behind every successful business decision, there is always a **CMA**





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SET OFF AND CARRY FORWARD

Statutory Basis: Sections 110 to 125 – Income-tax Act, 2025

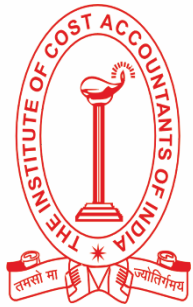
Covers: Intra-head set-off (110-115) + Inter-head set-off (116-120) + Carry forward (121-125)

Key Restriction: Losses cannot be set off against **unexplained income** (Section 120)



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SECTION 110-115 – INTRA-HEAD SET-OFF

Meaning: Set off losses within the same head of income

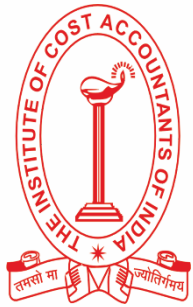
Rule: Loss under one source can be set off against income from another source **under the same head**

Head of Income	Example of Intra-head Set-off
House Property	Loss from House A → set off against rent from House B
Business	Loss from Business X → set off against profit from Business Y
Capital Gains	Short-term loss → set off against short-term/ long-term gain

Exception: Long-term capital loss → can be set off only against long-term capital gain (not short-term)

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SECTION 116-119 – INTER-HEAD SET-OFF

Meaning: Set off losses from one head against income from **another head**

Permitted Set-offs:

Loss Head	Can Set Off Against
House Property	Any other head (except salary)
Business (not speculation)	Any other head (except salary)
Capital Gains (STCL)	Any other head (limited)
Speculation Business	Only speculation profit
Salary	Cannot be set off against other heads

Restriction: Loss from business can be set off against salary **only if** business was carried on in earlier years (Section 118)

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SECTION 120 – PROHIBITION ON SET-OFF AGAINST UNEXPLAINED INCOME

Critical Restriction:

"No loss of any nature, whether current or brought forward, shall be allowed to be set off against any income deemed under sections 102, 103, 104, or 105 of this Act."

What this means:

- Unexplained cash credit (102) → cannot be reduced by any loss
- Unexplained investment (103) → same
- Unexplained expenditure (104) → same
- Deemed income (105) → same

Practical Impact:

- 60% tax applies on **gross** unexplained income
- Losses remain unutilized and can only be set off against **explained** income

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SECTION 121-125 – CARRY FORWARD OF LOSSES

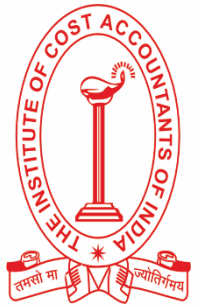
Time Limits for Carry Forward:

Type of Loss	Maximum Carry Forward Period
Business loss (non-speculation)	8 assessment years
Speculation business loss	4 assessment years
House property loss	8 assessment years
Capital loss (short-term)	8 assessment years
Capital loss (long-term)	8 assessment years

Condition for Carry Forward:

- Return must be filed **before due date** under Section 139(1)
- Late filing → loss cannot be carried forward (Section 122)

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SCHEDULE CARRY FORWARD OF LOSSES – OVERVIEW

What is Schedule CFL?

- Carry Forward of Losses schedule
- Mandatory for all assessees claiming loss carry forward
- Part of ITR-2, ITR-3, ITR-4 (2026 forms)

Key Components:

Part	Content
Part A	Business losses (non-speculation)
Part B	Speculation business losses
Part C	House property losses
Part D	Capital losses (ST & LT)
Part E	Unabsorbed depreciation (treated separately)

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PART A – BUSINESS LOSSES (NON-SPECULATION)

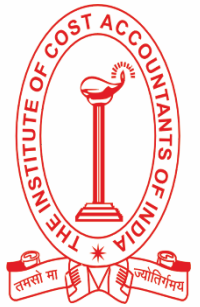
Fields to Fill:

Field	What to Enter
Assessment year of origin	Year in which loss first arose
Original loss amount	As per return of that year
Loss already set off	In intervening years
Loss carried to current year	Balance available
Loss set off in current year	Against current business income
Loss to be carried forward	Remaining balance

Documentation: Attach computation statement if loss exceeds ₹50 lakh

Note: Unabsorbed depreciation is NOT a loss – it is added to current year depreciation

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PART B & C – SPECULATION & HOUSE PROPERTY

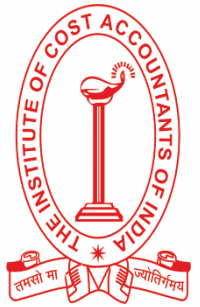
Speculation Business Loss (Part B):

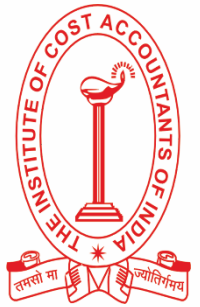
- Can be set off only against speculation profit
- Maximum carry forward: 4 years
- Loss lapses after 4th year

House Property Loss (Part C):

- Interest on housing loan (up to ₹2 lakh for self-occupied) may create loss
- Can be set off against other heads (except salary)
- Maximum carry forward: 8 years

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PART D – CAPITAL LOSSES

Short-term Capital Loss (STCL):

- Can be set off against STCG or LTCG
- Unabsorbed → carry forward 8 years

Long-term Capital Loss (LTCL):

- Can be set off **only** against LTCG
- Cannot be set off against STCG
- Unabsorbed → carry forward 8 years

Reporting Requirement:

- Indexed cost of acquisition (for LTCG on assets)
- Date of transfer and nature of asset

Important: Loss from sale of shares (STT paid) – allowed only if transaction is non-speculative

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PART E – UNABSORBED DEPRECIATION

Key Difference:

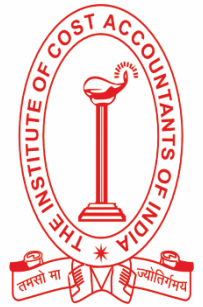
- Unabsorbed depreciation is **NOT** a loss
- It is added to current year depreciation
- Can be carried forward **indefinitely** (no time limit)

Set-off Priority:

1. Current year depreciation
2. Brought forward depreciation
3. Current year business losses
4. Brought forward business losses

Reporting in Schedule CFL:

- Separate column for unabsorbed depreciation
- Must link to asset block and WDV as per Schedule DEP



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GENERAL PRINCIPLE OF ORDERING

Rule: Set off in the order that **maximizes tax benefit**

Standard Priority Order:

Priority	Set-off Type
1st	Intra-head set-off (same head)
2nd	Inter-head set-off (different head) – but only where beneficial
3rd	Carry forward losses (oldest first – because they expire sooner)

Why order matters: If you set off a loss against income taxed at 30% instead of 15%, you lose potential tax benefit.

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STRATEGIC ORDERING – EXAMPLE

Scenario:

- Current year business income: ₹10 lakh (tax rate 30%)
- Current year capital gain (STCG): ₹5 lakh (tax rate 15%)
- Brought forward business loss: ₹8 lakh (expires next year)
- Current year speculation loss: ₹3 lakh (expires in 4 years)

Suboptimal Order:

Set off business loss against business income → saves ₹2.4 lakh tax

Set off speculation loss against capital gain → saves ₹0.45 lakh tax

Total tax saved: ₹2.85 lakh

Optimal Order:

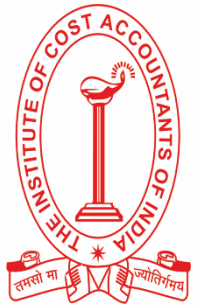
Set off speculation loss against business income (30% rate) → saves ₹0.9 lakh

Set off business loss against capital gain (15% rate) → saves ₹1.2 lakh

Total tax saved: ₹2.1 lakh? Wait, that's lower.

Correct Optimal: Set off expiring losses (business loss) first, regardless of rate.

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STRATEGIC ORDERING – PRIORITY MATRIX

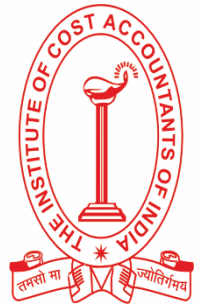
Priority 1: Losses expiring in current year (use or lose)

Priority 2: Losses that cannot be carried to certain heads (e.g., speculation loss)

Priority 3: Losses with lower tax rate impact (set off against higher tax rate income)

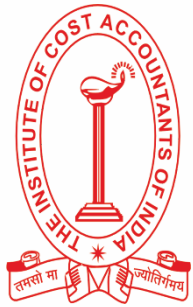
Do NOT set off:

- Losses against income already exempt (waste of loss)
- Losses against unexplained income (not allowed under Section 120)



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IMPACT OF LATE FILING ON CARRY FORWARD

Section 122 – Late Filing Provision:

"Where the return of income for the year in which the loss was incurred is not furnished within the time allowed under section 139(1), such loss shall not be carried forward to subsequent years."

Due Date under Section 139(1):

Assessee Type	Due Date
Company (audit required)	31st October
Business (audit required)	31st October
Other assessees	31st July

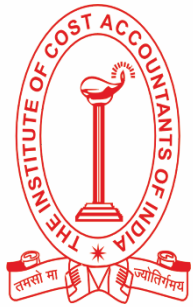
Consequences of Late Filing:

- Current year loss → can be set off in current year (if return filed before assessment)
- But **cannot** be carried forward to next year
- Loss is effectively **lost forever**

Exception: Late filing allowed for belated return (Section 139(4)) but carry forward is NOT permitted.

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DOCUMENTATION STRATEGY FOR LOSS CLAIMS

To successfully claim set-off/carry forward:

Document	Purpose
Original return (filed on time)	Proof of loss origin year
Computation of loss	Supporting working
Financial statements (audited if required)	Evidence of actual loss
Schedule CFL of subsequent years	Chain of carry forward

If return was filed late:

- Loss cannot be carried forward – no documentation can cure this
- Only remedy: File revised return within permitted time (but original must be on time)

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SCENARIO 1 – BUSINESS LOSS + UNEXPLAINED INCOME

Facts:

- Business loss: ₹20 lakh (carry forward)
- Unexplained income under Section 102: ₹15 lakh

Question: Can loss be set off against unexplained income?

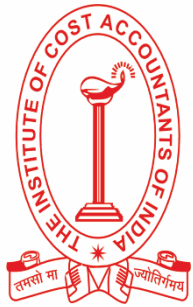
Answer: No. Section 120 explicitly prohibits set-off against Sections 102-105 income.

Tax Calculation:

- Tax on ₹15 lakh unexplained income @60% = ₹9 lakh + surcharge/cess
- Business loss remains untouched – can be set off only against future **explained** business income

Strategy: Use explained income sources (if any) to absorb loss. Do not waste loss against exempt or unexplained income.





SCENARIO 2 – MULTIPLE LOSSES WITH DIFFERENT EXPIRY

Facts (current year):

- Business income: ₹25 lakh
- Brought forward:
 - Business loss from AY 2022-23: ₹10 lakh (expires this year)
 - STCL from AY 2024-25: ₹8 lakh (expires after 6 years)
 - Speculation loss from AY 2023-24: ₹5 lakh (expires after 1 year)

Optimal Set-off Order:

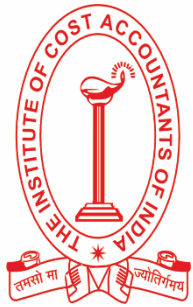
1. Business loss (expiring now) – set off ₹10 lakh → reduces taxable income to ₹15 lakh
2. Speculation loss (expires next year) – set off ₹5 lakh → reduces to ₹10 lakh
3. STCL (longer expiry) – set off ₹8 lakh → reduces to ₹2 lakh

Tax saved: Approximately ₹9 lakh (assuming 30% tax rate)

Wrong order: Using STCL first would waste the expiring business loss.

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SCENARIO 3 – LATE FILING CONSEQUENCES

Facts:

- AY 2025-26: Business loss of ₹15 lakh
- Due date for return: 31st July 2025
- Assessee filed return on 15th December 2025 (late)

Consequences:

- Current year set-off: Allowed (against current year income, if any)
- Carry forward to AY 2026-27: **Not allowed**

Result: ₹15 lakh loss is locked to AY 2025-26 only. If no income in that year to set off, the loss is **permanently lost**.

Remedy: None – this is a statutory bar. File on time or lose the loss.

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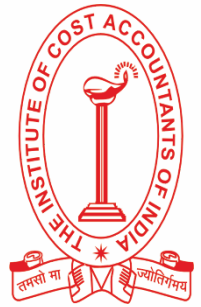


QUICK REFERENCE – LOSS SET-OFF MATRIX

TYPE OF LOSS	SET-OFF AGAINST (SAME YEAR)	CARRY FORWARD PERMITTED?	MAX PERIOD
Business (non-spec)	Any head (except salary)	Yes	8 years
Speculation	Speculation profit only	Yes	4 years
House Property	Any head (except salary)	Yes	8 years
STCL	STCG or LTCG	Yes	8 years
LTCL	LTCG only	Yes	8 years
Unabsorbed Depreciation	Any business income	Yes	Indefinite
Loss against unexplained income	Not permitted	N/A	N/A

Note: Salary loss does not exist – salary cannot generate a loss.

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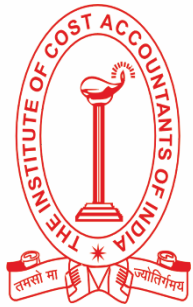
PRACTICAL TAKEAWAYS

For Taxpayers/Advisors:

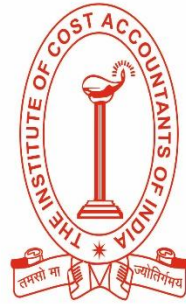
1. **File on time** – Late filing kills carry forward rights (Section 122)
2. **Order matters** – Use expiring losses first, regardless of tax rate
3. **No set-off against unexplained income** – Section 120 is absolute
4. **Schedule CFL is mandatory** – Incomplete schedule = loss disallowed
5. **Maintain chain of evidence** – Original return + subsequent year Schedules

Mistake	Consequence
Filing late in a loss year	Loss cannot be carried forward
Setting off LTCL against STCG	Disallowed in assessment
Forgetting speculation loss restriction	Wrong claim → penalty
Not filing Schedule CFL	Loss treated as lapsed

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Thank You



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